

WCVS U.S. EQUITY VALUATION REPORT

Report Date: May 5, 2026 | S&P 500 Reference: 7,230

COMPOSITE VALUATION SCORE

WCVS Score: 1.3 / 5.0

Rating: SIGNIFICANTLY OVERVALUED

The U.S. equity market is trading at extreme historical premiums across nearly all fundamental metrics. Current conditions mirror pre-dot-com bubble territory.

CATEGORY SCORE BREAKDOWN

Category	Current Value	Historical Mean	Percentile	Score	Weight
Shiller CAPE	40.1	17.0	99th	1.0	30%
Trailing P/E	26.0	25.3	58th	2.8	20%
Forward P/E	22.5	18.4	72nd	2.3	15%
Price-to-Book	5.3x	3.0x	99th	1.0	15%
Market Cap / GDP	222%	100%	99th	1.0	20%

Weighted Composite: 1.3 (Significantly Overvalued)

FORWARD RETURN EXPECTATIONS

Based on current WCVS score and historical CAPE regression models

Based on CAPE regression analysis and historical mean reversion patterns:

Time Horizon	Expected Annual Return	vs. Historical Average (7-10%)
1 Year	-2% to +4%	Well below average
3 Years	0% to 3%	Well below average
5 Years	1% to 3%	Well below average
10 Years	1.5% to 2.5%	Significantly below average
15 Years	2% to 3.5%	Significantly below average

Key Insight: At a CAPE of 40.1, the implied future annual return over the next decade is approximately **1.6%** — roughly one-third of the market's historical average. This places current valuations in the same territory as the 2000 dot-com peak.

KEY MARKET DRIVERS

What's Driving Extreme Valuations

- AI/Productivity Premium:** Market pricing in sustained double-digit earnings growth from AI-driven productivity gains
- Liquidity Environment:** Despite higher rates, broad money supply remains elevated relative to GDP
- Concentration Effect:** Mega-cap technology names (Magnificent 7) trade at ~28x forward earnings, distorting aggregate metrics

Risk Factors

- CAPE at 40.1** — Second-highest reading in 140 years, trailing only the 2000 dot-com bubble (44.2)
- Buffett Indicator at 222%** — More than double the “fair value” threshold of 100%
- Price-to-Book at 5.3x** — Record high, surpassing 2000 and 2021 peaks
- Price-to-Sales at 3.56x** — Near all-time highs (mean: 1.64x)

TACTICAL ASSESSMENT

Aspect	Assessment
Overall Stance	Defensive. Risk/reward skewed heavily to the downside for broad U.S. equities.
Entry Strategy	Dollar-cost averaging only; lump-sum deployment not recommended at current extremes.
Sector Tilt	Value and small-cap segments show relative insulation (S&P 600 at 15.8x forward P/E vs. S&P 500 at 22.5x).
Geographic Tilt	International developed and emerging markets offer significant valuation discounts to U.S.
Time Horizon	Long-term investors (10+ years) should expect muted real returns; near-term volatility risk elevated.

SUMMARY

The U.S. equity market registers a **WCVS of 1.3** — deep in “significantly overvalued” territory. With the Shiller CAPE at 40.1, Price-to-Book at record highs, and total market capitalization more than double GDP, investors face one of the most challenging valuation environments in modern history. Forward return expectations are substantially below historical norms across all time horizons. Prudent capital allocation favors selective exposure, international diversification, and patience for meaningful re-entry points.

Report generated on May 5, 2026. Data sources: GuruFocus, Mktpl, YCharts, S&P Global, Federal Reserve. Past performance does not guarantee future results.